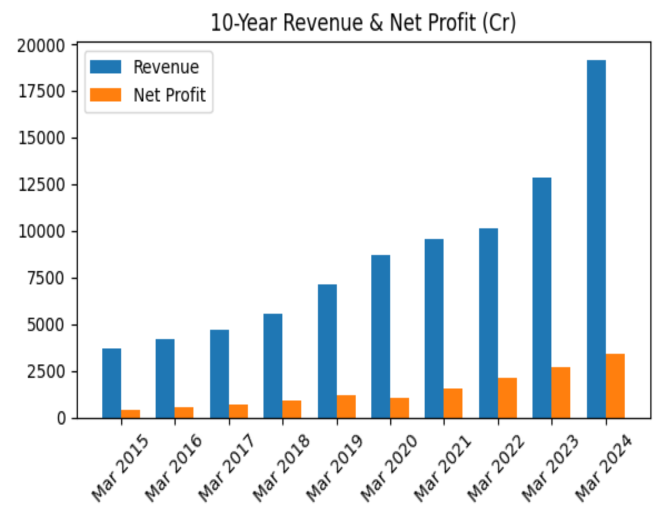
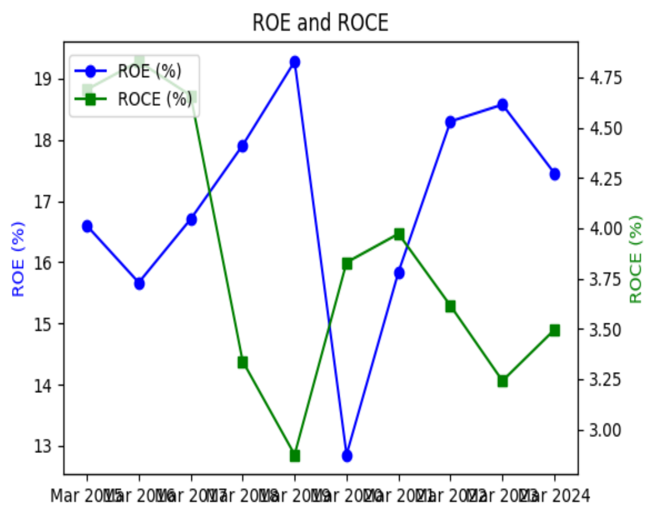
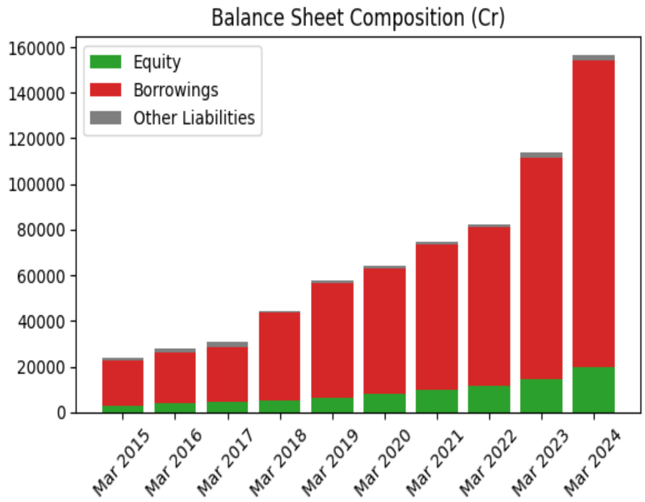
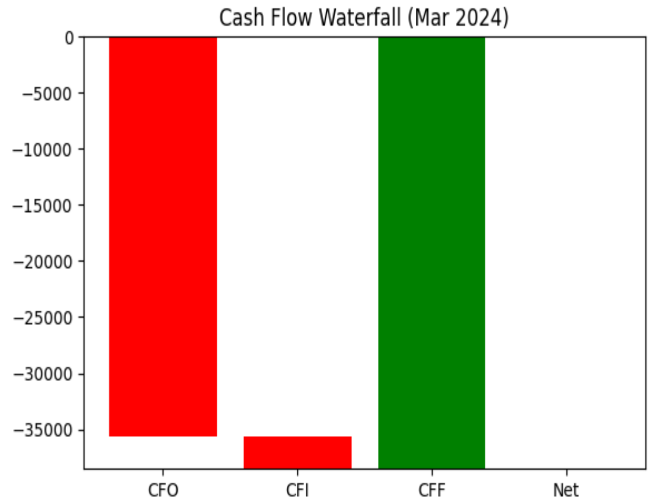
Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

Revenue ■22,502 Cr	**Net Profit** ■3,852 Cr	**ROE** 17.5%
ROCE 3.5%	**CFO Quality** Accrual Risk	**Allocation** Growth Funded by Debt









Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure

Capital Allocation Pattern: Growth Funded by Debt